

Three Drives Pattern - Valleys and Peaks

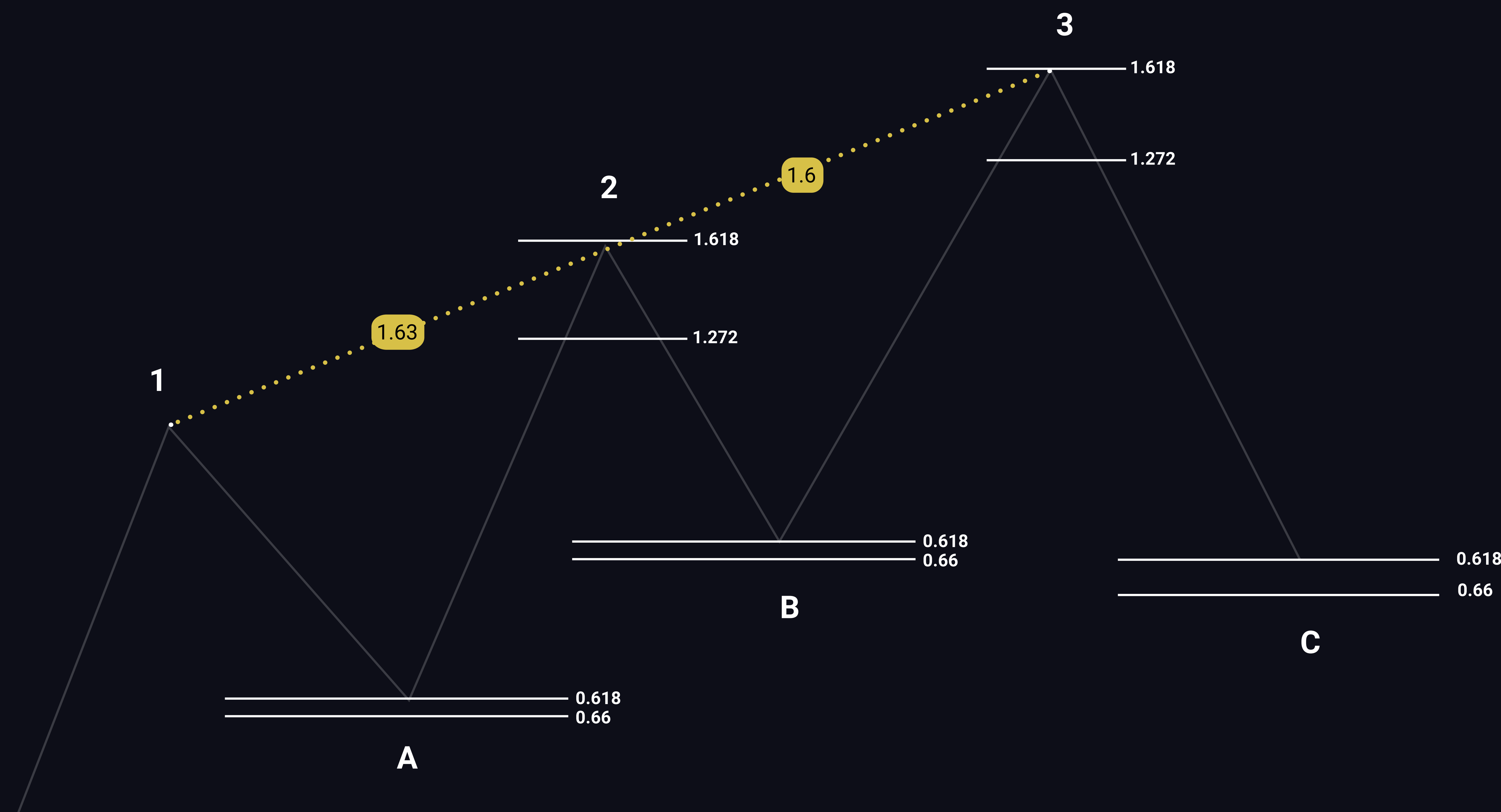
Cheat Sheet





Three Drives Pattern

This is a pattern that requires three attempts at a level before a reversal. It can be a bearish or bullish pattern. It's similar to the ABCD Pattern but has an extra wave.



Drive 1 can be any size.

1. Point A is the 0.618 to 0.66 (CC Region) retracement of the Drive 1.
2. Drive 2 is the 1.272 to 1.618 expansion of 1A.
3. Point B is at the CC Region retracement of Drive 2.
4. Drive 3 is at the 1.272 to 1.618 of 2B

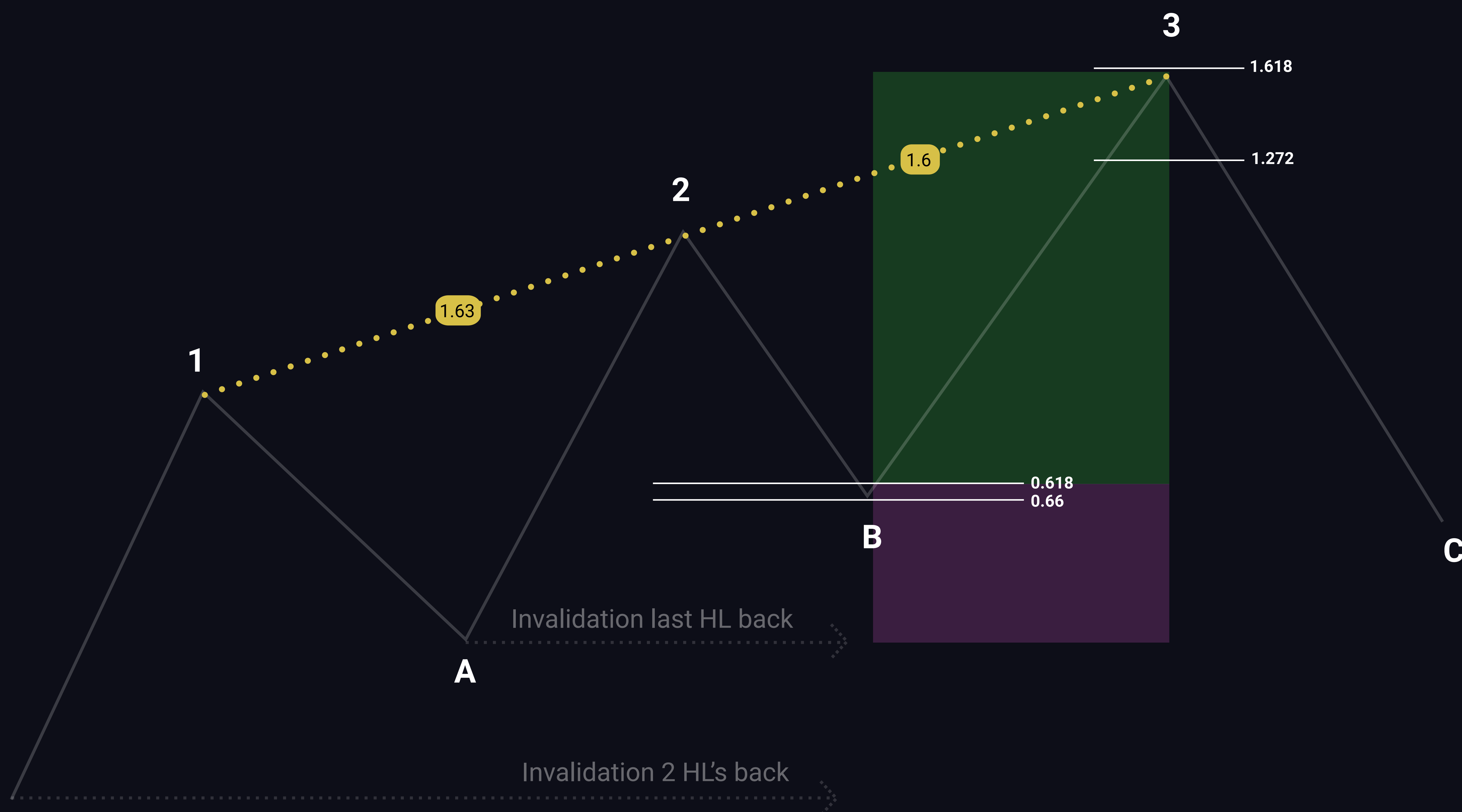
Price should spend equal time on forming Drive 2 and Drive 3. Correction A and B should also take the same time so the pattern has a lot of symmetry.



[Patterns module Three Drives + Valley/Peaks \(2:48\)](#)



How to trade the Three Drives Pattern Example 1



There are two ways to trade the Three Drives Pattern

Enter a position at point B (CC Retracement of 2B) and target 1.272 - 1.618 of 2B. The invalidation could be 2 higher lows back or at least the last higher low back (A).



[Patterns module Three Drives + Valley/Peaks \(6:34\)](#)



How to trade the Three Drives Pattern Example 2

Prior market structure

Lower high used to place the invalidation



Take a trade on Drive 3 completion and target the CC Retracement on the entire pattern (Bottom of Drive 1 to the high of Drive 3). The invalidation would be context dependent, if price is in a downtrend and a lower high has been printed on Drive 3, you could use the prior market structure or the last lower high to place your invalidation or alternatively wait for the reaction on Drive 3.



[Patterns module Three Drives + Valley/Peaks \(6:34\)](#)

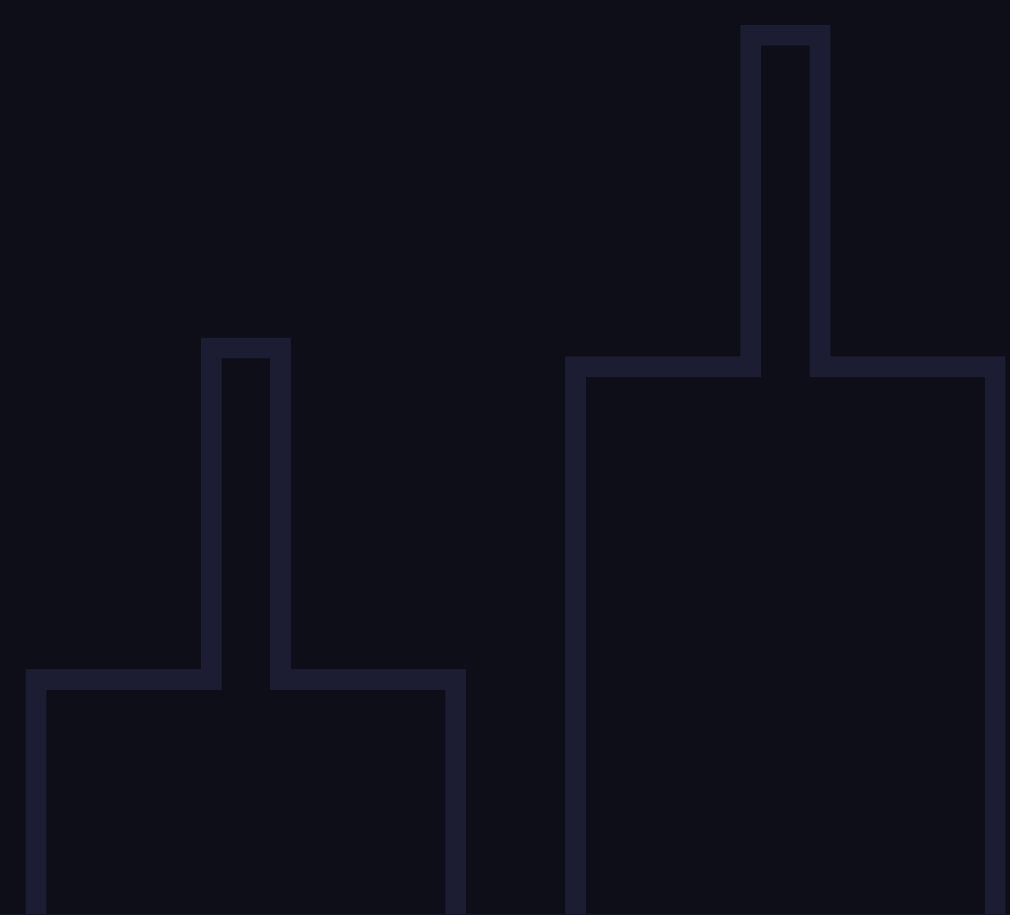


Valleys and Peaks

Price attempts to break a high or low three times. The main difference with three drives is that there is three long lower/higher wicks. Fibonacci is not taken into account in this pattern.

Each time the attempt is bought up quickly or each attempt is on lower volume with divergences.

Price reverses quickly after the 3rd attempt.



[Patterns module Three Drives + Valley/Peaks \(12:56\)](#)



3 Valleys Example



Here we can see on the first attempt a long lower wick, followed by another on the second attempt. Finally on the third attempt there is a quick rejection which forms the 3 valleys pattern.

This pattern is only relevant on important support levels. Buying imbalances supported by high volume on this final 3rd attempt is evidence that this pattern has formed.



[Patterns module Three Drives + Valley/Peaks \(14:05\)](#)



3 Peaks Example

In the following example we can see three attempts at the highs ending with a rejection on the third attempt.

We only look at this pattern on really important resistance levels.



[Patterns module Three Drives + Valley/Peaks \(15:55\)](#)